AGA KHAN UNIVERSITY EXAMINATION BOARD

SECONDARY SCHOOL CERTIFICATE

CLASS X EXAMINATION

APRIL/ MAY 2017

Principles of Accounting Paper II

Time: 2 hours 25 minutes Marks: 50

AKU Secondary Examination 2017

INSTRUCTIONS

Please read the following instructions carefully.

1. Check your name and school information. Sign if it is accurate.

I agree that this is my name and school. **Candidate's signature**

2. RUBRIC. There are NINE questions. Answer ALL questions.

3. When answering the questions:

   Read each question carefully.
   Use a black pointer to write your answers. DO NOT write your answers in pencil.
   DO NOT use staples, paper clips, glue, correcting fluid or ink erasers.
   Complete your answer in the allocated space only. DO NOT write outside the answer box.

4. The marks for the questions are shown in brackets ( ).

5. You may use a simple calculator if you wish.

6. Wherever new terminologies are mentioned their old terminologies are mentioned in the brackets for your assistance.

Q.1. (Total 6 Marks)

The following balances are extracted from the books of Study Solutions (an academy for education) on December 31, 2015.

Particulars	Amount (Rs)
Tuition fees receivable	125,000
Allowance (provision) for doubtful debts	15,000

Post the general journal entries for the following transactions.

[**Note:** Consider each transaction separately]

a. The tuition fee of a student was written off for Rs 5,000. (2 Marks)

Date	Particular	P.R.	Debit	Credit

b. A previously written off tuition fees of Rs 3,500 was recovered. (2 Marks)

Date	Particular	P.R.	Debit	Credit

c. The management of Study Solutions decided to make the allowance (provision) for doubtful debt at the rate of 15% of tuition fee receivable at each year end. Therefore, the balance at December 31, 2015 should be adjusted. (2 Marks)

Date	Particular	P.R.	Debit	Credit

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Q.2. (Total 6 Marks)

Kashif & Co. purchased electronic equipment worth Rs 750,000 on January 01, 2012. The estimated life of the device is 10 years and the salvage value of Rs 100,000.

On January 01, 2014, the company exchanged this electronic equipment with a new one with a market value of Rs 650,000, the life of new electronic device is 15 years and salvage value is Rs 100,000.

The company received a trade in allowance of Rs 450,000 for the electronic equipment and the rest of the amount was paid in cash. The company's financial year ends on 31st December each year.

I. Compute the depreciation for year 2012, 2013 and 2014 by reducing (diminishing) balance method for the electronic equipment. (4 Marks)

II. Compute the loss or gain faced by the company due to the exchange of electronic equipment. (2 Marks)

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Q.3. (Total 10 Marks)

The following represents the account balance of Beta Traders for the year ended December 31, 2016.

Particulars	**Amount (Rs)**
Opening inventory (stock)	115,000
Ending inventory (stock)	75,000
Net sales	350,000
Net purchases	203,000
Salaries expense	60,000
Insurance expense	20,000
Supplies expense	10,000
Commission income	8,000
Bank interest income	1,500

Prepare the Income statement of Beta Traders for the year ended December 31, 2016.

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Q.4. (Total 4 Marks)

The following information is extracted from the books of Adam Brothers.

	Start of the Year (Rs)	End of the Year (Rs)
Trade payables (accounts payable)	115,000	140,000

Additional Information

Cash purchases during the year	Rs 142,000
Paid to trade payables (accounts payable)	Rs 675,000
Purchases return and allowance	Rs 12,000

Compute total credit purchases and total net purchases.

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Q.5. (Total 4 Marks)

Differentiate between single entry and double entry accounting system by mentioning TWO points.

Single Entry	Double Entry
1.	
2.	

Q.6. (Total 5 Marks)

The following errors have been found in the books of Al-Hameed Traders.

i. Merchandise returned by Karim Brothers of Rs 7,000 was entered in sales return and allowances account, but the entry was not posted to the personal account.

ii. The total amount of purchases journal was under-casted by Rs 3,400.

iii. The discount column of the cash book, representing discounts allowed to customers, was over added by Rs 736.

iv. A balance of Rs 4,300, owed by Karim Brothers, had been omitted from the schedule of trade receivables (accounts receivable).

v. Sales of Rs 395 to Mr Mirza had been correctly entered in sales book, but were posted as Rs 359 in personal account of Mr Mirza.

Prepare suspense account and post the given entries to suspense account.

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Q.7. (Total 5 Marks)

Prepare the 'corrected' general entry for the following errors in the books of Al-Hameed Traders.

i. Merchandise returned by Karim Brothers of Rs 7,000 was entered in sales return and allowances account, but the entry was not posted to the personal account.

Date	Particular	P.R.	Debit	Credit

ii. The total amount of purchases journal was under-casted by Rs 3,400.

Date	Particular	P.R.	Debit	Credit

iii. The discount column of the cash book, representing discounts allowed to customers, was over added by Rs 736.

Date	Particular	P.R.	Debit	Credit

iv. A balance of Rs 4,300, owed by Karim Brothers, had been omitted from the schedule of trade receivables (accounts receivable).

Date	Particular	P.R.	Debit	Credit

v. Sales of Rs 395 to Mr Mirza had been correctly entered in sales book, but were posted as Rs 359 in personal account of Mr Mirza.

Date	Particular	P.R.	Debit	Credit

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Q.8. (Total 5 Marks)

Mention suitable title for each of the following accounts in NPO (non-profit organization).

[**Note:** First example has been done for your assistance]

S. No.	Accounting Situation	Terms used in NPO
1.	**Excess of income over expenditure**	**Surplus**
2.	Capital investment	
3.	Excess of expenditure over income	
4.	Membership fees received in advance	
5.	Membership fees payable	
6.	Providing services other than the core business of an NPO	

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Q.9. (Total 5 Marks)

The following accounts have been taken from the books of Al-Falah Health Club.

Receipts		Payments	
	Amount (Rs)		**Amount (Rs)**
Balance	6,300	Manager's salary	1,500
Entrance fees – 2014	15,000	Printing and stationary	3,900
Entrance fees – 2015	16,750	Advertising	2,700
Subscription fees – 2014	900	Fire insurance	1,800
Subscription fees – 2015	22,500	Investment in shares	90,000
Dividend on investment	40,700	Balance	2,850
Subscriptions – 2016	600		
	102,750		**102,750**

Additional information

- The following are the rates of depreciation and cost of the non-current assets (fixed assets).

S. No.	Non Current Assets	Book value (Rs)	Depreciation rate
1	Building	50,000	20%
2	Fixtures and furniture	15,000	10%
3	Motor vehicle	125,000	15%

- Prepaid advertising Rs 300.
- Unexpired fire insurance Rs 600.

Prepare Income and expenditure account for the year ended December 31, 2015.

[**Note:** Space for the working is given on page 10]

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